Overview

This report presents the results of the Evaluation of the European Fund for Strategic Investments (EFSI), completed by the Operations Evaluation Division (EV) of the European Investment Bank (EIB), in accordance with Article 18 of the EFSI Regulation (2015/1017). It follows the publication of the previous (Mid-Term) Evaluation of the Functioning of EFSI by EV, published in October 2016. The evaluation provides an assessment of: (a) the rationale and design of EFSI (corresponding to the evaluation criterion of *relevance*); (b) results achieved so far, with emphasis on *additionality* (*effectiveness)*; (c) *complementarity* and *coordination* of EFSI with other European Union (EU) programmes; and (d) adequacy of the inputs mobilised for the implementation of EFSI (*efficiency*). The timing of the evaluation precludes the assessment of the long-term *impact* and *sustainability* of EFSI results, as they will take time to materialise, especially for the type of projects supported by EFSI under the Infrastructure and Innovation Window (IIW) and can only be assessed after project completion.

The evaluation scope encompasses the portfolio of EFSI operations in all EU Member States (MS) since inception, as well as its organisational, staff and financial resources. In terms of institutions, the scope includes the EIB Group, EFSI governing bodies and relevant economic actors in MS, including final beneficiaries (Mid-cap companies and Small and Medium-sized Enterprises (SMEs)), and private and public co-investors (including National Promotional Banks (NPBs) and Investment Platforms). While the other two Pillars of the Investment Plan for Europe (IPE) are out of scope, they are considered in the discussion of EFSI's design and its complementarity and coordination with other initiatives, to the extent that they may affect the effectiveness of EFSI.

It is worth noting that the evaluation is completed in a context where the extension of EFSI has already taken place. Though this extension is out of scope, changes introduced by the amended EFSI Regulation (2017/2396) are taken into account to ensure that the evaluation's findings remain relevant for the continued implementation of EFSI.

The evaluation draws on a wide range of sources and methods. As EFSI is an instrument with macroeconomic, EU-wide objectives, the assessment of its relevance and effectiveness relies less on traditional project-level evaluations and more on macroeconomic and portfolio analysis, complemented with insights from 15 in-depth case studies. Other sources and methods of analysis include: literature reviews of legal, academic, policy and strategic documents, as well as internal reporting documents and previous evaluations of EFSI; 62 interviews with internal (EIB Group, EFSI governance bodies) and 21 interviews with external (European Commission (EC) and NPBs) stakeholders; review of project documentation; comparative analysis of risk profiles for EFSI and non-EFSI EIB Special Activities (SA); and two surveys of final beneficiaries under each of the two Investment Windows (the IIW and the Small and Medium-sized Enterprises Window (SMEW)).

Background - EFSI in the context of the IPE

Launched in November 2014 as a flagship initiative of the EC, the Investment Plan for Europe (IPE) is a policy response to the consequences of the global financial crisis of 2008-2009 and the sovereign debt crisis of 2011-2012, which resulted in a sharp fall in investment.

The IPE builds on three mutually reinforcing Pillars, which respectively aim to (a) mobilise finance for investment, (b) make finance reach the real economy and (c) improve the investment environment. The first Pillar, which is the subject of this evaluation, is the European Fund for Strategic Investments (EFSI). It consists of a portfolio guarantee provided by the EU budget to the EIB Group and a capital contribution from the EIB in order to increase the risk-bearing capacity of the EIB Group, allowing it to finance operations which address market failures or sub-optimal investment situations in key sectors, and which could not have been carried out (to the same extent or within the same time frame) by the EIB, the European Investment Fund (EIF) or under existing Union financial instruments without EFSI support, thereby stimulating investment and